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LEGO: Fostering Brand Love through Customer Communities

In 2024, the iconic Danish toy company LEGO faced the challenge of broadening its appeal beyond its core base of customers and embracing digital innovation while remaining true to its core identity of creativity and physical play. LEGO had rejuvenated itself from a near-collapse 20 years before by pivoting toward community engagement and creating strategic partnerships. Its revenues grew almost tenfold, from \$1 billion in 2003 to \$9.8 billion in 2023.¹ (See [Exhibit 1](#).) However, the competition was catching up, and LEGO needed more innovative ideas to maintain its leadership position.

The toy market was becoming increasingly crowded, and its competitors had emulated LEGO's playbook of community-driven innovation. As a result, what was once a differentiator for LEGO had become standard across the industry. LEGO had relied on a relatively small number of passionate fans for its growth. Although these fans had been instrumental in the brand's resurgence, continuing to focus narrowly on its core customers could limit LEGO's growth in the future. However, the company could not risk alienating the brand's core fans in its efforts to attract new customer segments.

1 Bruno Venditti, "Visualizing LEGO's Revenue Growth (2003–2023)," Visual Capitalist, October 23, 2024, <https://www.visualcapitalist.com/visualizing-legos-revenue-growth-2003-2023>.

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Company Background

Founded in 1932 in Denmark, LEGO was a globally recognized toy company known for its plastic bricks that enabled children and adults to build complex structures and imaginative worlds. Over the years, LEGO expanded its product line to include video games, movies, and theme parks, becoming a beloved brand across generations.

LEGO faced fierce competition from major players in the toy industry, including Mattel (the maker of Barbie and Hot Wheels), Hasbro (known for Nerf, Transformers, and Monopoly), and Mega Brands (a division of Mattel that produced Mega Bloks). In addition, digital and tech-based entertainment companies competed for the attention of LEGO's younger audience. These competitors challenged LEGO in traditional toy markets and the digital and interactive play spaces that were becoming more popular with consumers.

LEGO's Decline: Losing Touch with the Community

In the late 1990s and early 2000s, LEGO faced a near-death experience. The company ventured well beyond its core product of plastic bricks to include clothing, video games, and theme parks. The diversification initiatives lacked cohesion, and they distracted from LEGO's primary strength: the creativity and innovation inherent in its construction sets.

LEGO's product evolution added to its problems. The company introduced complex and elaborate toy sets that were costly to manufacture and difficult to assemble, drifting away from the simple and versatile bricks that had made it famous. This shift alienated both children and parents, who found the new sets less accessible and less fun to build.

Meanwhile, LEGO was grappling with growing competition from other toy manufacturers and the rising popularity of digital entertainment. Companies such as Mattel and Hasbro continued to compete with their well-established brands, and video games and digital platforms captured the imagination of younger customers and pulled them away from physical toys. Internally, LEGO struggled with operational inefficiencies, leaving it with bloated inventories and high costs.

These factors led to declining sales and financial losses. By 2003, LEGO was on the brink of bankruptcy, and it became clear that a radical shift in strategy was needed to save the company and restore its place as a beloved global brand.²

LEGO's Revival: Recognizing the Power of the Community

As it faced the threat of collapse, LEGO's leadership zeroed in on the power of its passionate fan base. LEGO realized that its core fans—many of whom had grown up with the brand—had

2 "Innovation Almost Bankrupted LEGO—Until It Rebuilt with a Better Blueprint," *Knowledge at Wharton* (blog), accessed April 25, 2025, <https://knowledge.wharton.upenn.edu/article/innovation-almost-bankrupted-lego-until-it-rebuilt-with-a-better-blueprint>.

a deep emotional connection with its products. These fans were not just buying products but satisfying their creative urges by building, modifying, and developing entirely new designs using LEGO bricks.

In 2004, LEGO appointed Jørgen Vig Knudstorp as CEO to lead a turnaround. Knudstorp slashed the product line by more than 50%, sold non-core assets, and refocused the product portfolio on the classic LEGO bricks. The company also concluded strategic licensing partnerships with franchises such as *Star Wars* and *Harry Potter* and engaged with its fan community. The focus on community and co-creation was rooted in the belief that LEGO could harness the creativity and passion of its customers to contribute to the brand's evolution.

One of the most significant moves in this direction was the launch of the LEGO Ideas platform (originally called LEGO CUUSOO) in 2008. (See [Exhibit 2](#).) LEGO Ideas invited the company's fans to contribute to product development, turning them into co-creators and brand advocates. The platform enabled fans to submit original designs, which the community voted on. LEGO designers reviewed any that received 10,000 votes. Some of these designs were selected to become official LEGO sets, with the original submitter receiving a share of the profits. As of August 2022, fan designs submitted to LEGO Ideas had led to the creation of 58 official LEGO sets.³

Building Brand Love: Advocates and Ambassadors

This strategic shift toward co-creation and fan engagement revitalized LEGO's product offerings and reinforced the brand's core values of celebrating creativity and collaboration. By involving its customer community in the product development process, LEGO turned its fans into active participants in the brand's story, which fostered a deeper sense of loyalty and transformed them into advocates and ambassadors.

LEGO also tapped into the power of fan-created content and social media presence. Fans regularly shared their custom builds, known as MOCs (My Own Creations), on platforms such as YouTube and Instagram, as well as on specialized LEGO fan sites such as Brickset and Eurobricks. (See [Exhibit 3](#).) These communities grew into vibrant ecosystems where fans exchanged ideas and inspired each other. LEGO embraced this user-generated content by featuring fan builds on its official channels and collaborating with prominent LEGO YouTubers and influencers to amplify the reach and impact of fan advocacy.

LEGO's community-driven events, such as Brickworld and BrickFair fan conventions, also played a crucial role in reinforcing brand love. These events gathered thousands of LEGO enthusiasts and provided a space for fans to showcase their creations, participate in workshops, and connect with others who shared their passion. Through these initiatives, LEGO transformed its fans into a powerful force for brand advocacy. LEGO cultivated a global community of ambassadors by giving them tools to create, share, and celebrate their love for the brand.

3 "LEGO Ideas Sets: From Fan Creation to Valuable Collection," BlockApps, Inc., August 27, 2024, <https://blockapps.net/blog/lego-ideas-sets-from-fan-creation-to-valuable-collection.1>

Strategic Challenges

Even so, in 2024, Lego faced several strategic challenges.

Balancing Tradition with Innovation

LEGO had long been cherished for fostering creativity through tactile play. The physical bricks, which had been the cornerstone of the brand for decades, enabled children and adults alike to build, imagine, and create. This emphasis on open-ended physical play had been central to LEGO's identity and was a key reason why generations of fans had remained loyal to the brand.

However, as the digital age reshaped the landscape of entertainment and play, LEGO faced the challenge of integrating new technologies while staying true to its core values. The company had made significant strides in embracing digital innovation. It had introduced augmented reality (AR) sets such as LEGO Hidden Side and video games such as LEGO Star Wars. These products were designed to merge the physical and digital worlds, offering engaging experiences for a tech-savvy generation of consumers.

These digital initiatives helped LEGO attract younger, more digitally inclined audiences. But they also raised concerns about alienating the company's core fans, who loved the simplicity, creativity, and hands-on nature of traditional LEGO sets. The company's leaders worried that long-time fans might view the shift toward digital platforms as a departure from the brand's roots and a diminishment of the value of physical play that LEGO had championed for decades. The challenge for LEGO was to embrace digital innovation while preserving the essence of the brand. How should the company innovate to avoid alienating its core audience that valued the hands-on experience of physical LEGO sets?

Sustaining Community Engagement

LEGO's competitors had copied its co-creation and community-driven strategies. For instance, Hasbro ran Facebook campaigns encouraging fans to create artwork, videos, and stories featuring its products. It also established the #TimeToPlay initiative to encourage parents to play with their children and to build communities around shared experiences.

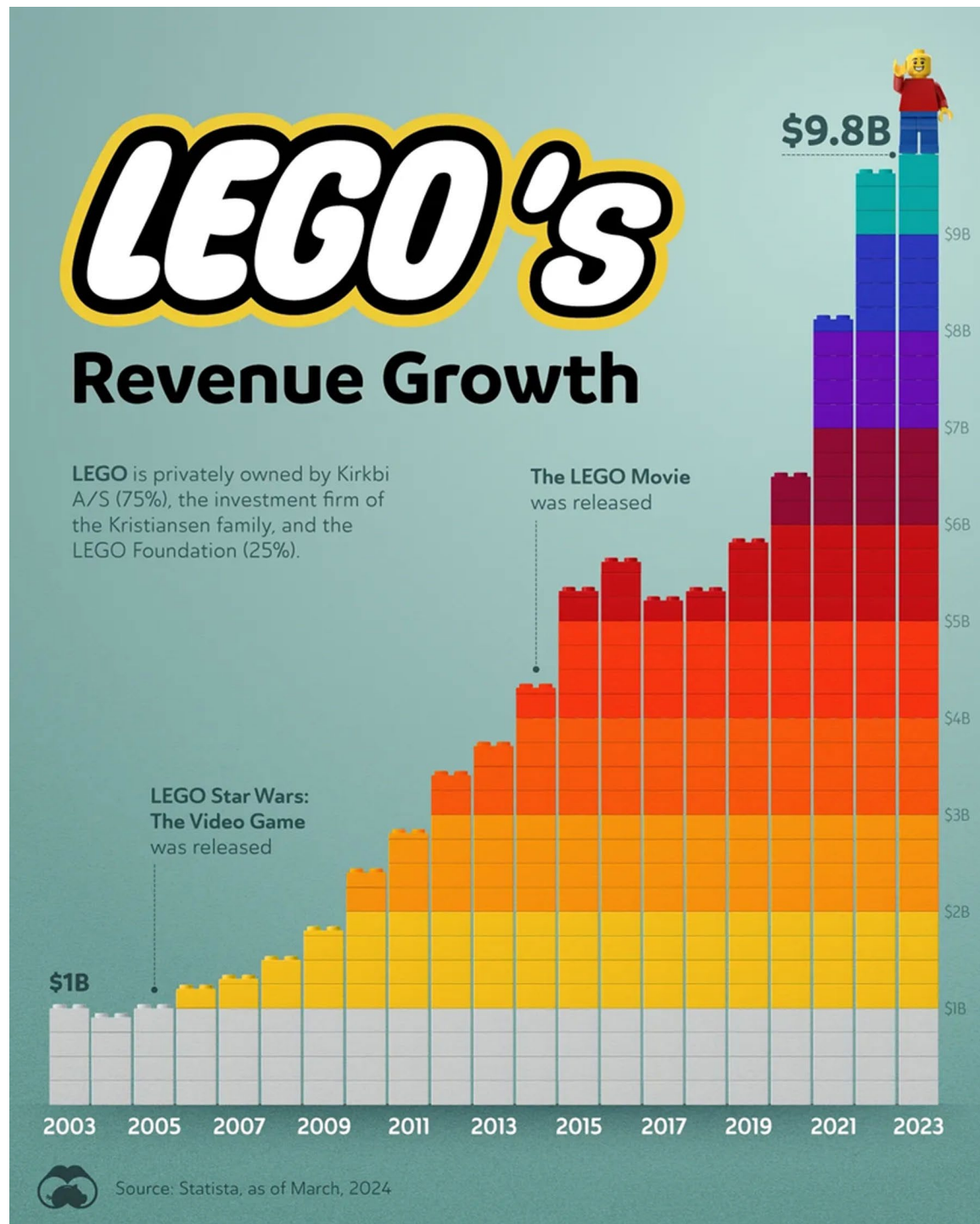
To sustain its competitive differentiation, LEGO needed to ensure that its community initiatives remained fresh and innovative. The company was considering several ideas to enhance community engagement. These included adding collaborative projects through which multiple users could contribute to a single design, creating thematic challenges aligned with popular cultural events or trends, and adding gamification elements such as point systems, leaderboards, and achievement badges for active community members. The company could also develop tailored community initiatives for different demographic segments, such as Adult Fans of LEGO (AFOLs). It could also enhance its LEGO Ambassador Network by providing superfans with exclusive content, early access to new products, and opportunities to host official LEGO events.

Broadening the Appeal

The fact that LEGO had a passionate core customer base also had the potential to limit the brand's appeal and potential growth. Although the core fan community had been instrumental in LEGO's revival, continuing to cater to core fans could cause LEGO to miss growth opportunities. Hard-core fans demanded specialized or complex products, which could be intimidating or less appealing to less engaged customers or to younger audiences. How should LEGO manage the tension between catering to its most passionate fans versus attracting new, diverse audiences? For instance, could LEGO create nostalgia-driven products for adults; playful, imaginative products for children; more inclusive products; and products especially for girls?

How to Evolve?

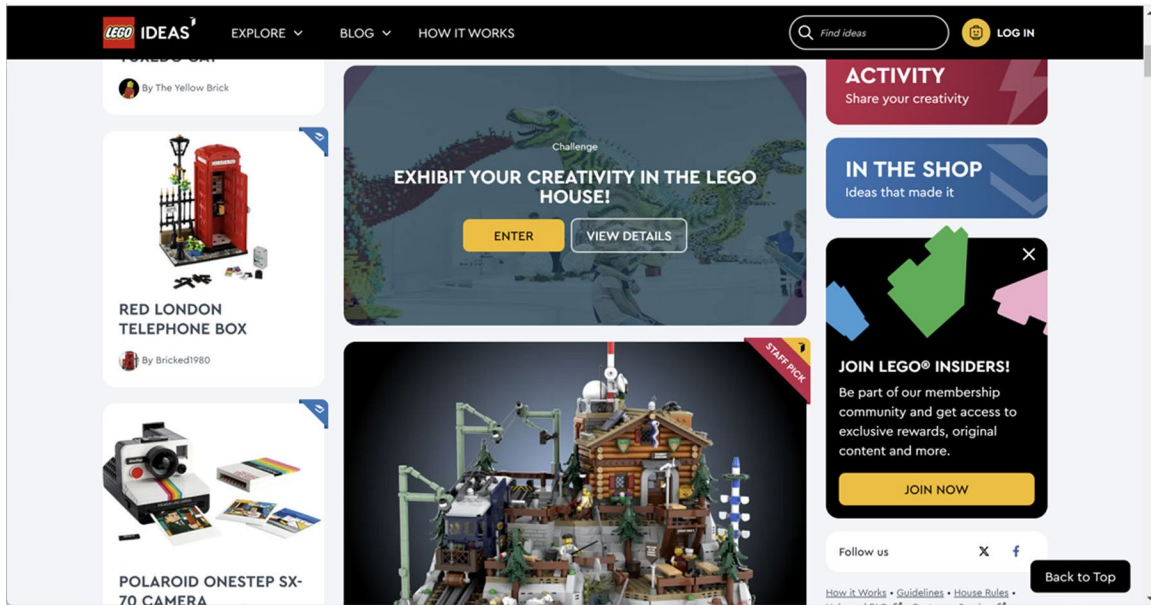
As LEGO navigated the complexities of a rapidly evolving competitive landscape, it needed to find new growth opportunities while remaining true to its core identity. The company had to carefully balance innovation with tradition in its quest to inspire generations of builders, both in the physical and digital worlds, for years to come.

Exhibit I: LEGO Revenue Growth, 2003–2023[\[Return to Text\]](#)

Source: Bruno Venditti, "Visualizing LEGO's Revenue Growth (2003–2023)," Visual Capitalist, October 23, 2024, <https://www.visualcapitalist.com/visualizing-legos-revenue-growth-2003-2023>.

Exhibit 2: LEGO Ideas Platform

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Source: ideas.lego.com.

Exhibit 3: Categories of LEGO Fan Creations[\[Return to Text\]](#)**Popular LEGO® MOC Categories****Technic MOCs**

These MOCs are built using LEGO® Technic elements. LEGO® Technic is a line which uses different components to be able to create more complex and functional structures. With rods, axles, gears and mechanical components, you are able to create complex structures such as functioning gearboxes!

**Architecture MOCs**

The LEGO® architecture theme has a very distinct micro-scale style. The MOCs that fall within this category try to achieve the same style with different builds, such as this Harry Potter universe inspired MOC.

**Automaton MOCs**

LEGO® Automaton MOCs are one of the most interesting kind of MOCs. They usually mix regular and Technic LEGO® elements, to recreate a "living scene" of some sorts.

The creator TonyFlow76 is a great Automaton MOC designer, and you can view most of his designs [on Youtube](#).

[You can browse our LEGO® Automaton complete MOC kits here.](#)

Source: <https://buildamoc.com/pages/what-is-a-lego-moc>